

buggy whips when cars were introduced. Was their way of life ending? I thought so, but time healed the outlook and the stock climbed.

In Gap (GPS), I was looking for a climb from about 30 where I bought to 36 to 40 as a swing trade back up to the bottom of the cloud. Instead, 10 days after I bought, I sold it. “Sell reason: DCB: The news said that SSS [same-store sales] were pitiful, and the stock was down like 9% after market. So I decided to sell it at the open. That saved me some bucks since it closed over a dollar lower.” The stock bottomed 34% below where I sold.

In Newell (NWL), in late December 2017, I bought half a position in the stock on a cloudbank play to 45. From my notebook: “I'm hoping we don't DCB again in 1.5 months. I'm hoping to ride this up to the cloudbank at 45 and above.” The first dead-cat bounce was in early November, and I usually avoid taking a position in a stock that shows one for 6 months. Why? Because the percentages are too high that another DCB will happen.

From my notebook: “Date sold: 25 January 2018. Order details: Sold all at a few minutes before 10 a.m. after logging in to check on my portfolio. Stock was down 6+ points from prior close on earnings warning and said it plans to sell off assets, close factories, closing up to half of them. Ouch.”

- Lesson: Don't take a position in a company with a dead-cat bounce within 6 months.

Sample Trade

I offer two sample trades, the first of which I show in [Figure 18.4](#). This is a monthly chart of a cloudbank with a base, A, of about 23. The stock climbed much higher than that within the cloud, but the base of the cloud found support near 23.

I tried to find out the reason for the drop that began in August 2011, but news on the company's website didn't go back that far.

A 4-month simple moving average (SMA) shows price closing above the SMA at B. That's the buy signal. A trade entered at the open the next month (C) would fill near 12.88.